presence in Europe. Sensing the possibility of a deal, *TIME* magazine commented: ‘The pairing will give Corus access to cheaper steel while handing new markets and know-how to Tata.’ Leng says that a JV would have brought ‘products and processes and there was this geographical reach or enlargement’. The association could have made ‘two plus two’ aggregate to ‘more than four’.

The September meeting was primarily exploratory in nature. Both parties, however, agreed to continue their discussions. It was followed by several meetings to get better clarity on the synergies that a possible tie-up could spawn. One meeting that Ratan had with Corus in February 2006 over dinner in Mumbai was particularly significant. During the discussions, the European steel maker made it evident that they were primarily looking for a partnership or a JV with the Tatas. But a JV required some compromise of the Tatas’ ‘sovereignty’ over its steel company, says Leng. Ratan, however, was unyielding. ‘It is inconceivable that Tata Steel could give up a part of its sovereignty,’ Leng recalls Ratan telling him.

During the meeting, Ratan was willing to consider any partnership only if three conditions were met. These were: Tata Steel would not drop the name ‘Tata’ from any entity that may be formed, the Tata Group would have management control and the UK management would be represented on the board. Ratan said that on the first point, particularly, there would be no compromise. Tata Steel was the group’s flagship company. It was too closely intertwined with India’s economic history for the fiercely patriotic chairman to barter away its name.

As Ratan was unwilling to compromise on the issue of sovereignty and Leng thought it was an essential part of a JV, the discussions did not make any headway. Ratan then suggested that they were willing to buy Corus instead. The British side was, however, non-committal.

The meeting in Mumbai was followed by another one in London between Muthuraman, Chatterjee, Leng, Varin and other officials from Corus. The Indian side was with their adviser, Brett Olsher of Deutsche Bank, and Corus with officials from Credit Suisse. The focus was on how to develop ‘synergies’ between the two companies. The advisers to the Tatas also opined that an all-cash offer would hasten the way for an easy conclusion of any expected partnership. It was assessed that the steel plants in the UK had a ‘high operating cost structure’.